

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the Three Months ended 30th June 2019

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ASIA ASSET FINANCE PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE, 2019

	For the quarter ended		
	30.06.2019	30.06.2018	Change
	LKR	LKR	
	Unaudited*	Unaudited*	%
Interest Income	747,560,964	650,918,141	14.8%
Interest Expenses	(413,147,725)	(338,137,235)	22.2%
Net Interest Income	334,413,239	312,780,906	6.9%
Net Trading Gain/(Loss) on Equity Securities	-	(7,481)	-100.0%
Other Operating Income	50,642,034	36,034,485	40.5%
Less: Operating Expenses			
Personnel Costs	(72,292,744)	(73,723,034)	-1.9%
Provision for Staff Retirement Benefits	(2,288,415)	(2,250,000)	1.7%
General and Administration Expenses	(187,021,480)	(136,436,156)	37.1%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(82,658,334)	(87,000,000)	-5.0%
Operating Profit before Value Added Tax on Financial Services	40,794,301	49,398,721	-17.4%
Value Added Tax on Financial Services	(12,980,000)	(17,044,971)	-23.8%
Profit Before Taxation	27,814,301	32,353,750	-14.0%
Income Tax (Expenses) / Reversal	(2,800,000)	(16,310,352)	-82.8%
Profit for the Period	25,014,301	16,043,399	55.9%
Actuarial Loss on Retirement Benefit Liability	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-
Total Comprehensive Income for the Period	25,014,301	16,043,399	55.9%
Earnings Per Share - Basic	0.85	0.76	10.9%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2019 LKR Unaudited*	31.03.2019 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	741,354,058	643,777,198	15.2%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	806,571,195	691,744,740	16.6%
Financial Assets - Held for Trading	125	125	0.0%
Loans and Advances	7,501,249,487	7,453,374,463	0.6%
Lease Rentals Receivable and Hire Purchase	4,310,587,461	4,102,651,935	5.1%
Other Assets	15,521,664	16,511,803	-6.0%
Income Tax Receivable	3,223,408	3,732,303	-83.0%
Vehicle Stock	15,130,855	18,913,569	-90.2%
Advances, Deposits and Prepayments	162,877,348	155,155,197	5.0%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	148,943,971	158,680,580	-6.1%
Investment Property	393,938,512	393,818,513	0.0%
Deferred Tax Assets	249,583,726	249,583,725	0.0%
Intangible Assets	16,600,955	11,043,610	50.3%
Total Assets	14,366,089,424	13,899,494,420	3.4%
LIABILITIES			
Due to Banks	126,458,052	131,273,907	-3.7%
Other Liabilities	135,898,123	217,163,369	-37.4%
Other Borrowed Funds	5,768,338,001	4,958,735,615	16.3%
Due to Customers	6,182,130,813	6,617,344,955	-6.6%
Retirement Benefit Liability	24,376,906	22,088,492	10.4%
Total Liabilities	12,237,201,896	11,946,606,338	2.4%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,687	1,640,493,541	9.2%
Retained Earnings	262,898,934	239,007,167	10.0%
Statutory Reserve Fund and Other Reserves	74,509,908	73,387,374	1.5%
Total Equity	2,128,887,529	1,952,888,082	9.0%
Total Equity and Liabilities	14,366,089,424	13,899,494,420	3.4%
Net Assets Per Share	18.04	18.18	-0.7%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th June 2019 and its profit for the Period ended 30th June 2019.

.....sgd.....

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

Mr.C .Ramachandra

Director/Chairman

09th August 2019

Colombo

* The above figures are provisional and subject to audit.

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2018 (Audited)	1,388,935,273	3,000,000	65,386,917	401,610,081	1,858,932,271
Total comprehensive income for the year					
Profit for the three months ended 30.06.2018	-	-	-	16,043,399	16,043,399
Other comprehensive income (net of tax)				-	-
Total comprehensive income for the year				16,043,399	16,043,399
Transaction with equity holders recognized directly in equity					
Transferred to/from reserves During the Period	-	-	802,170	(802,170)	-
Balance as at 30th June, 2018 (Unaudited)	1,388,935,273	3,000,000	66,189,087	416,851,310	1,874,975,669
Balance as at 01st April, 2019 (Audited)	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Profit for the three months ended 30.06.2019	-	-	-	25,014,301	25,014,301
Other comprehensive income (net of tax)		-			
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,146.00				150,985,146
Transferred to/from reserves During the Period			1,122,534.16	(1,122,534)	-
Balance as at 30th June, 2019 (Unaudited*)	1,791,478,687	3,000,000	71,509,908	262,898,934	2,128,887,529

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2019 Rs. Unaudited*	31.03.2019 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	27,814,301	93,907,039
Adjustments for		
Depreciation and amortization	13,366,321	51,006,612
Impairment of lease hire purchase, loans and advances	82,658,334	357,620,797
Early termination of loans, leases and hire purchase	(9,101,408)	(35,561,373)
Non-cash items included in profit before tax (WHT and Notional tax)	(1,808,304)	(1,517,200)
Net Interest Margin Adjustment	-	24,153,962
Interest income on commercial papers	-	(6,234,305)
Profit on sale of vehicle stock	182,714	(86,431)
Profit on sale of held for trading securities	-	1,614
Gain/loss on fair valuation of held for trading securities	-	7,606
Gain/loss on fair valuation of Fixed Deposit	-	-
Gains from sale of property, plant and equipment, investment property and real estate inv	(59,368)	(2,841,867)
Gain from disposal of vehicle stock	-	-
Provision for retirement benefit liability	2,288,415	5,272,963
Interest expense on other borrowings	190,305,115	581,621,544
Profit from Operation Before Working Capital Changes	305,646,119	1,067,350,961
	-	-
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	(223,570,917)	(1,936,369,097)
Increase in Loans and Advances	(104,389,589)	(862,275,657)
(Increase)/Decrease in Other Receivables	(990,139)	(924,414)
(Increase)/Decrease in Deposits and Prepayments	(4,196,767)	(47,300,314)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	(435,214,142)	261,277,709
Increase/(Decrease) in Other Liabilities	(81,265,246)	164,012,558
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(543,980,682)	(1,354,228,254)
Taxes Paid	(2,000,000)	(31,617,521)
Gratuity Paid	-	(3,948,750)
Net Cash From Operating Activities	(545,980,682)	(1,389,794,525)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(2,739,430)	(57,293,522)
Acquisition of intangible assets	(6,496,936)	(5,506,856)
Acquisition and proceeds from sale of Investment Property	-	(14,220,059)
Proceeds from sale of investment property	-	17,300,000
Investments in commercial papers	-	-
Investment/Proceeds from Commercial Papers	-	-
Acquisition and proceeds of Vehicle Stock	2,000,000	(37,565,049)
Proceeds from sale of vehicle stock	-	19,000,000
Proceeds from commercial papers	-	213,479,053
Proceeds from sales of held for trading securities	-	204,389
Proceeds from sales of property, plant and equipment	153,803	2,836,973
Net Cash Flows From/(Used in) Investing Activities	(7,082,563)	138,234,929
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(730,702,732)	(3,426,336,554)
Proceeds from Other Borrowed Funds	1,350,000,000	4,802,371,833
Dividends paid	-	-
Proceeds from Rigt issue	150,985,146	251,558,268
Net Cash Flows From/(Used in) Financing Activities	770,282,414	1,627,593,547
Net Increase in Cash and Cash Equivalents	217,219,170	376,033,951
Cash and Cash Equivalents at the Beginning of the Period	1,204,248,031	828,214,080
Cash and Cash Equivalents at the End of the Period	1,421,467,201	1,204,248,031
At the End of the Period		
Cash and Cash Equivalents	741,354,058	643,777,198
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	806,571,195	691,744,740
Bank Overdraft	(126,458,052)	(131,273,907)
	1,421,467,201	1,204,248,031

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.06.2019	30.06.2018	30.06.2019	30.06.2018	30.06.2019	30.06.2018	30.06.2019	30.06.2018	30.06.2019	30.06.2018	30.06.2019	30.06.2018	30.06.2019	30.06.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	311,304,196	176,924,501	17,967	1,003,453	260,489,942	343,255,352	26,077,643	32,307,360	149,671,216	97,427,475	-	-	747,560,964	650,918,141
Other Income	19,953,873	8,673,723	-	83,475	4,684,848	8,178,311	2,011	-	24,347,985	16,617,716	1,653,317	2,481,260	50,642,034	36,034,485
Total Revenue	331,258,069	185,598,224	17,967	1,086,928	265,174,790	351,433,663	26,079,654	32,307,360	174,019,201	114,045,191	1,653,317	2,481,260	798,202,998	686,952,626
Segmental Result	16,929,830	13,346,357	918	78,161	13,552,467	25,271,573	1,332,871	2,323,220	8,893,717	8,200,983	84,497	178,427	40,794,301	49,398,721
Value Added Tax on Financial Services													(12,980,000)	(17,044,971)
Profits from Operations													27,814,301	32,353,750
Income Tax Charge/Reversal for the Period													(2,800,000)	(16,310,352)
Net profit for the Period													25,014,301	16,043,399
Segment Assets	4,294,667,739	2,710,791,516	15,919,722	41,045,012	4,723,526,422	5,369,997,271	806,571,195	1,155,318,274	2,777,723,065	2,018,356,038	-	-	12,618,408,143	11,295,508,112
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	1,747,681,281	730,175,321	1,747,681,281	730,175,321
Total Assets	4,294,667,739	1,221,623,119	15,919,722	219,610,439	4,723,526,422	5,684,287,268	806,571,195	993,453,450	2,777,723,065	1,099,089,716	1,747,681,281	640,692,395	14,366,089,424	12,025,683,433
Segment Liabilities	4,110,374,907	2,198,938,664	15,236,575	33,294,875	4,520,830,401	4,653,840,147	771,959,603	937,170,567	2,658,525,381	1,931,744,320	-	-	12,076,926,867	9,754,988,573
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	160,275,029	395,719,191	160,275,029	395,719,191
Total Liabilities	4,110,374,907	1,079,119,247	15,236,575	193,992,606	4,520,830,401	5,021,208,016	771,959,603	877,565,856	2,658,525,381	970,879,520	160,275,029	62,185,056	12,237,201,896	10,150,707,764

In determining segment results,

Expenses have been allocated proportionately based -

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 30th June, 2019.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th June, 2019 (including comparatives) were approved and authorized for issue on 09th August, 2019 in accordance with a resolution of the board of directors on 09th August, 2019.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th June, 2019 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	30.06.2019	31.03.2019
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	109,097,018

08. Market Value of Shares

	30.06.2019 Rs.	31.03.2019 Rs.
Highest Traded Price	8.80	9.00
Lowest Traded Price	7.00	7.80
Closing Price	7.50	8.40

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 30th June 2019

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,560,504	6.09
3 J.B. COCOSHELL (PVT) LTD	4,242,950	3.42
4 MR S.D.R. ARUDPRAGASAM	2,460,638	1.98
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21
6 MR P.A.D.R.U. PUSHPAKUMARA	1,391,435	1.12
7 SEYLAN BANK PLC/W.D.N.H.PERERA	1,131,899	0.91
8 MR K.M.S.M. RAZEEL & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60
9 MUTIARA HOLDINGS (PRIVATE) LTD	510,000	0.41
10 MR C.W. GUNASEKARA	490,000	0.39
11 CODE-GEN INTERNATIONAL PVT LTD	424,118	0.34
12 DFCC BANK PLC/MR.K.S.D.SENAWEEERA	335,000	0.27
13 MR P.P. SUBASINGHE	302,623	0.24
14 MR C.R. PERERA	274,999	0.22
15 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18
16 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16
17 MR W.K.R. JAYAKODY	199,892	0.16
18 MR T.S. SALIM	197,495	0.16
19 MRS M. ARUDPRAGASAM	174,320	0.14
20 FAST GAIN INTERNATIONL LIMITED	159,000	0.13
	113,084,320	91.05
Othres	11,111,213	8.95
Total	124,195,533	100

No of Shareholders	% of Shareholding
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11. Shares held by public as at 30th June 2019

2,375 27%

12. Directors Share Holding

Name	No. of Shares 30.06.2019	%
Mr.Chandrakumar Ramachandra	80,000	0.073
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	60,000	0.054
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Chandrakumar Ramachandra

Mr.Rajiv James Abeywicrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Kuttikattu Rajappan Bijimon

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd

59 Gregory Road,

Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates

1056 Mardana Road,

Colombo 08.

Company Auditors - External

BDO Partners

65/2, Sir Chiththapalam A Gardiner Mawatha,

Colombo 02.

Bankers of the Company :

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

National Development Bank PLC

Seylan Bank PLC

Indian Bank

Nation Trust Bank

Audit Committee

Mr.Thusitha Perera

Mr. Danasiri Rupakumara Jayasekara

Mr.Chandrakumar Ramachandra

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Roshan De Silva Gunasekara (COO)

Mr. Danasiri Rupakumara Jayasekara

Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara

Mrs.Dayangani Priyanthi Pieris

Mr.Kuttikattu Rajappan Bijimon

Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake

Mr.Rajiv James Abeywickrema Gunawardena

Mr.Chandrakumar Ramachandra

Mrs.Dayangani Priyanthi Pieris

Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr.Danasiri Rupakumara Jayasekara

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Chandrakumar Ramachandra